

HOW TO FILE A UAE CORPORATE TAX RETURN

A Step-by-Step Training Guide for the EmaraTax Portal

For Mainland and Free Zone Companies

WHO THIS GUIDE IS FOR

This guide is for an accountant or finance person who has to file a UAE Corporate Tax return and has never done it before. It walks through all seven steps of the EmaraTax return in the same order the portal shows them.

It explains **what each question means**, **where the answer comes from**, and **why the question is being asked** — because if you understand why, you can answer correctly even when your company's situation is different from the examples here.

What You Will Learn

Section	What it covers
1. Before you start	The documents you need, the deadline, and how the tax is calculated in principle
2. Key words explained	In-English meaning of the terms the portal uses
3. Steps 1 to 7	Every screen of the return, question by question
4. Mainland vs Free Zone	What is different for each, and what is the same
5. Common mistakes	The traps that catch first-time filers
6. After you submit	Records, deadlines, and what to fix for next year

IMPORTANT — PLEASE READ

Tax rules change. Thresholds, deadlines and reliefs described here were correct at the time of writing, but you must always check the current guidance on the Federal Tax Authority website before you file.

This guide teaches you how to complete the form. It does not replace advice from a registered tax agent on questions of judgement — for example whether your company qualifies for a particular relief, or whether a payment to an owner is at market value. When a question involves judgement, this guide tells you so.

SECTION 1 | BEFORE YOU START

The Documents You Need

You cannot fill this form from memory. Gather these first:

Document	Why you need it
Audited or prepared financial statements for the tax year	Almost every number in the return comes from here. The portal asks for your profit and loss and your balance sheet line by line.
Your tax computation (a working paper you prepare yourself)	This is where you take your accounting profit and adjust it to arrive at taxable income. Build it before you open the portal, not while you are in it.
Last year's filed return (if this is not your first year)	Some elections carry forward permanently. You need to know what was chosen before.
Your trade licence	Confirms your registered business activities and legal details.
Your CT registration certificate	Gives your Tax Registration Number and confirms your first tax period.

BUILD YOUR TAX COMPUTATION BEFORE YOU LOG IN

The single biggest cause of stress when filing is opening the portal without a finished computation and trying to work out the numbers as you go. Prepare a simple working paper first that shows: accounting profit, then each adjustment with a reason, then taxable income. When you sit down to file, you should only be **copying** numbers, never calculating them.

The Deadline

The return is due **nine months after the end of your tax period**. So a company with a financial year ending 31 December must file by 30 September the following year. Payment of any tax due follows the same deadline. Missing it brings penalties even if your tax is nil — so a nil return still has to be filed on time.

How the Tax Is Calculated — the Big Picture

Corporate Tax is not charged on your accounting profit. It is charged on **taxable income**, which is your accounting profit after certain adjustments. The logic runs like this:

Stage	What happens	Explanation
Start	Accounting profit before tax	The profit figure at the bottom of your income statement
Add back	Expenses the law does not allow	You spent the money, and it is in your accounts, but tax law says you cannot deduct it — so you add it back and pay tax on it
Deduct	Income the law does not tax	Some income is exempt, so you take it out
Result	Taxable income	The figure the tax rate is applied to
Apply rate	0% on the first slice, 9% above it	There is a threshold. Below it you pay nothing. Above it, only the excess is taxed at 9%

ILLUSTRATIVE EXAMPLE — ALL NUMBERS ARE MADE UP

A company has accounting profit of **500,000**. During the year it spent **40,000** on entertaining clients, and only half of that is deductible. It also has an unpaid provision of **20,000** that tax law does not allow yet.

Accounting profit	500,000
Add: half of entertainment	20,000
Add: disallowed provision	20,000
Taxable income	540,000

If the threshold is 375,000, then 375,000 is taxed at 0% and the remaining 165,000 is taxed at 9%. Tax due would be 14,850.

Notice what happened: the company's accounting profit was 500,000 but it pays tax as if it earned 540,000. That is the whole point of add-backs — and it is why your tax computation, not your income statement, is the document that matters.

SECTION 2 | KEY WORDS EXPLAINED

The portal uses legal language. Here is what the terms actually mean.

Term	What it means in simple English
Taxable Person	The company (or person) that has to pay the tax. In the form, this is your company.
Tax Period	The year you are reporting on. Usually the same as your financial year.
Accounting Income	Your profit before tax, straight from your financial statements.
Taxable Income	Accounting income after all the tax adjustments. This is what gets taxed.
Non-deductible expenditure	Money you really spent, but tax law will not let you deduct it. You add it back, which increases your taxable income.
Exempt income	Income you really earned, but tax law does not tax it. You take it out, which reduces your taxable income.
Tax Loss	If your taxable income is negative, that is a tax loss. You can usually carry it forward and use it against future profits.
Related Party	Companies or people connected to your business by ownership or control — for example a sister company, or a company owned by the same shareholder.
Connected Person	An owner, a director or officer of your company, or someone related to them. Different from a Related Party — pay attention to which one the question is asking about.
Arm's length	Priced the same way you would price it with a stranger. If you pay your owner far more than you would pay an unrelated person for the same work, that is not arm's length.
Election	A choice you make in the return. Some elections are permanent and can never be changed. Read carefully before choosing.
Free Zone Person	A company registered in a UAE free zone. Being in a free zone does not automatically mean 0% tax — see Section 4.
Qualifying Free Zone Person (QFZP)	A free zone company that meets a strict list of conditions and can get 0% on its qualifying income. Meeting the conditions is difficult and must be proven.
Small Business Relief (SBR)	A relief for smaller businesses. If you elect it and qualify, you are treated as having no taxable income for that year and file a much shorter return.
Realisation basis	An election about when gains and losses on assets are taxed — when they are actually sold, rather than when their value changes on paper.

RELATED PARTY vs CONNECTED PERSON — THE MOST CONFUSED PAIR

These sound similar and the portal asks about both. The difference matters:

Related Party is usually about **other businesses** linked to yours by ownership or control. The reporting threshold is high and is tested on the **total** of all such transactions.

Connected Person is usually about **people** — your owners, directors and their relatives — and payments made to them. The threshold is much lower and is tested **separately for each person**, not added up across everyone.

Testing the Connected Person threshold on a combined total is a very common error. If you have two owners and you add their amounts together, you may report the wrong answer. Test each person on their own.

SECTION 3 | STEP 1 — TAXPAYER DETAILS

This step confirms who you are. Most of it is already filled in by the FTA from your registration — your job is to check it is still correct, then answer some questions about your business.

Part A — Details already filled in (check these)

Field	How to answer
Tax Registration Number, company name (English and Arabic), Entity Type, Entity Sub-Type, Primary Business	Read them. They come from your registration. If anything is wrong, you must correct it in your registration profile first — you cannot fix it inside the return.
Address, phone, email, P.O. Box	Check against your current trade licence. Companies often move office and forget to update the FTA.
Is the above information correct?	Answer Yes only after you have actually read every line. Answering Yes is a confirmation, not a formality.

Part B — Questions about your business

Question	What it is really asking	Where the answer comes from
Are you a partner in an unincorporated partnership?	Do you trade through a partnership that is not a separate company?	Your legal structure. Most companies answer No.
Is this return for a Government Entity, Government Controlled Entity, Extractive or Non-Extractive Natural Resource Business?	These types have special rules and a different return. Are you one of them?	Your licence and ownership. Most private companies answer No.
What is your Revenue derived during the Tax Period?	Your gross income for the year. This drives whether you can use Small Business Relief.	Your income statement. Be consistent year to year about whether you include other income — and document which basis you used.
Cash or accrual basis?	How your accounts are prepared. Accrual means you record income when earned, not when the cash arrives.	Your financial statements. Audited accounts under IFRS are always accrual.
Do you conduct more than one business activity? How many?	How many activities are on your licence.	Your trade licence and FTA registration.
Percentage of revenue per activity	A rough split of where your income came from.	Your accounts. If your accounts do not split revenue by activity, see the note below.
Are you a member of a Multinational Enterprise Group?	Is your company part of a large international group with operations in more than one country?	Your group structure. A company owned by individuals answers No.
Are you incorporated under UAE or Free Zone laws?	Were you set up in the UAE?	Your trade licence.
Are you tax resident in a foreign country under a tax treaty?	Does another country also treat you as tax resident?	Where your management and control actually sit. Most UAE-managed companies answer No.

WHEN YOUR ACCOUNTS DO NOT SPLIT REVENUE BY ACTIVITY

Many small companies show revenue as one line in the accounts, even though the licence lists several activities. The portal still asks for a percentage against each one.

You have two honest options. Either allocate 100% to the activity that genuinely generated the income and write a short note in your file explaining the basis — or, if you truly have no supportable split, enter zero across the board and be ready to explain why. Whichever you choose, **do it deliberately and write down your reasoning**. What you must not do is invent percentages that look tidy but have nothing behind them.

Better long-term fix: ask your bookkeeper to tag revenue by activity from next year. Then the question answers itself.

Part C — Free Zone questions

If you are a mainland company, these questions will either not appear or you answer No and move on. If you are in a free zone, read Section 4 of this guide before answering them.

STEP 2 — ELECTIONS

This is the most dangerous screen in the return, because some of these choices are **permanent**. An election you make here can bind you for years. Never click through this screen quickly.

Election	What it means	How to think about it
Realisation basis	Choose to be taxed on gains and losses only when you actually sell an asset, rather than when its value changes on paper.	Only relevant if your accounts carry assets at fair value. If everything is at cost, this does nothing for you.
Transitional adjustments (property, intangible assets, financial assets)	For assets you already owned before Corporate Tax started, choose to exclude the part of any future gain that built up before the tax existed.	These are made in your first tax period and are usually irrevocable . In later years the portal shows your earlier choice as read-only. If it will not let you change it, that is normal — not a bug.
Small Business Relief	If your revenue is under the threshold, you can elect to be treated as having no taxable income for the year.	See the detailed discussion below — this is not automatically the best choice.
Transfers within a Qualifying Group	Did you move assets or liabilities to another company in the same group without a tax charge?	Only relevant if you have group companies and moved assets between them.
Business Restructuring Relief	Did you transfer a whole business, or a whole part of a business, to someone else?	Rare. Answer No unless a genuine business transfer happened.
Foreign Permanent Establishment	Do you have a branch or fixed place of business in another country?	A branch office abroad, not just customers abroad. Selling to foreign customers does not create a permanent establishment.

SHOULD YOU ELECT SMALL BUSINESS RELIEF? THINK BEFORE YOU TICK

SBR sounds like a free gift, and for many small businesses it is. But it is a choice, not an automatic benefit, and it has a cost.

What you gain: you are treated as having no taxable income, and you file a much shorter return. Less work, and no tax.

What you give up: a business that elects SBR cannot create or carry forward tax losses for that year, and cannot carry forward disallowed interest. If your business is loss-making or heavily financed, those carried-forward amounts could be worth real money later — and electing SBR throws them away.

The practical test: work out your tax **both ways** before choosing. If your taxable income is already below the 0% threshold, you pay nothing either way — so electing SBR gains you only a shorter form, while costing you flexibility. Many advisers in that position choose **not** to elect, accept the longer return, and keep their options open.

Plan ahead: SBR is a temporary relief with an end date. Check the current expiry date on the FTA website (Now its 31 De 2029). Once it ends, every business is in the normal regime, so use the relief years to get your systems ready rather than to postpone the problem.

IF AN ELECTION FIELD IS GREYED OUT AND WILL NOT CHANGE

This confuses almost everyone the first time. If a Yes/No election is locked and clicking does nothing, it is because the election is **irrevocable** and was made in an earlier year. The portal is showing you a historic decision, not asking you a new question.

Do not waste time trying to change it, and do not assume it is an error. Instead: find last year's return, confirm what was elected and why, and write it in your permanent file so next year's filer knows too.

Also note that a permanent election made in an early year usually has **no effect at all** in a year where nothing triggers it. An election about gains on selling an asset does nothing in a year when you sold nothing.

STEP 3 — ACCOUNTING SCHEDULES

Here you type your financial statements into the portal. The form has two columns: **Current Period** and **Previous Period**. Grey boxes are calculated by the system — you cannot type in them, and you should check that what they produce matches your accounts.

The Profit and Loss section

Field group	What goes here	Watch out for
Operating Revenue Expenditure in deriving operating revenue	Your sales, and the direct costs of making those sales.	Whatever you treat as direct cost must match your audited accounts, because the system uses these two to calculate gross profit — and gross profit must tie to your financial statements.
Gross Profit	Calculated for you.	Check it equals the gross profit in your accounts. If it does not, one of the two lines above is wrong.
Salaries and related charges	Staff costs that sit below gross profit — usually admin and management payroll.	Do not include staff costs already counted inside direct costs above. That would be double counting.
Depreciation and amortisation	Depreciation and amortisation that sits below gross profit.	If all your depreciation is inside direct costs, the correct entry here is zero . See the box below.
Fines and penalties Donations Client entertainment	These are separated out because tax law treats them specially — they usually get added back later in Step 5.	Enter the full amount you spent here. The add-back happens in Step 5, not here.
Other expenses	Everything else below gross profit that does not fit the named boxes.	Make sure your named boxes plus other expenses equal your total expenses. Do not lose anything.
Non-operating revenue, interest, gains and losses on disposal, foreign exchange	Income and costs outside your main trading activity.	Foreign exchange is often shown as one net figure in accounts. If so, enter it in the gains or losses box depending on whether it is positive or negative, and leave the other at zero.
Net profit / (loss)	Calculated for you.	This is your key check. It must equal the profit before tax in your financial statements exactly. If it does not, stop and find the difference before going further.

THE DOUBLE-COUNTING TRAP — DEPRECIATION AND STAFF COSTS

The fields below gross profit are for **non-operating** costs only. Anything already included in your direct costs line has been counted once and must not be entered again.

So if your accounts put all depreciation inside cost of sales, the depreciation box lower down should be **zero**. Entering it again would make your expenses too high and your net profit wrong.

This feels wrong when you first do it — you have depreciation, so why enter zero? Because the form is asking a narrower question than it appears to. It is not asking "what was your depreciation"; it is asking "how much of your non-operating expense was depreciation".

Be ready to explain it. Later the form asks for EBITDA, where you **do** add back all depreciation. So the return will show zero depreciation in one place and a large add-back in another. Both are correct, but a reviewer may ask. Keep a short written note in your file explaining where your depreciation sits.

The Balance Sheet section

Enter your assets, liabilities and equity. The system totals them. Your check here is simple: **Total assets must equal Total equity and liabilities**. If the two grey boxes do not match, you have mistyped something.

Employees and EBITDA

Average number of employees — a simple headcount average for the year, from your payroll records. **EBITDA** means earnings before interest, tax, depreciation and amortisation: take your net profit and add back interest, depreciation and amortisation. This figure matters because interest deduction limits are based on it.

The Audit question

Answer whether your financial statements were audited. If yes, you will be asked for the audit opinion (unqualified, qualified, adverse or disclaimer) and the audit firm's name. Take the opinion wording from the auditor's report itself — do not guess. An "unqualified" opinion is the clean one.

STEP 4 — ACCOUNTING ADJUSTMENTS AND EXEMPT INCOME

This step starts from your accounting income and asks whether anything needs to be taken out before tax is calculated. Most small and medium companies answer No to nearly everything here.

Question	What it means	Typical answer and why
Accounting Income for the Tax Period	Your net profit, carried forward automatically from Step 3.	Check it. It should match your financial statements.
Do you account for investments under the Equity Method?	Do you own a share of another company that you account for by picking up your share of its profits?	No, unless you hold associates or joint ventures.
Have you recognised gains or losses that will not later go through the income statement?	Are there revaluation movements sitting in equity or other comprehensive income?	No, if your other comprehensive income is nil.
Did you hold Qualifying Immovable Property, Intangible Assets or Financial Assets during the period?	This links to the transitional elections in Step 2.	Answer based on the assets you actually held. Note this asks about this period — it is a different question from the permanent election in Step 2.
Did you receive dividends from a UAE resident person?	Dividends received from another UAE company are generally exempt.	Careful: dividends you paid out to your own shareholders are not what this asks about. Read the direction of the question.
Did you derive income or losses from a Participating Interest?	Do you hold a substantial shareholding in another company that qualifies for exemption?	No, for most small companies.

STEP 5 — OTHER ADJUSTMENTS

This is where your add-backs go. It is the step that actually changes your tax bill, so it deserves the most care. Every figure here should already exist in your tax computation working paper.

Non-deductible expenditure

Field	What to put here
Non-deductible entertainment expenditure	The disallowed portion of what you spent entertaining customers, suppliers and business partners — a fixed percentage of the total is not deductible. Note this applies to client entertainment; entertaining your own staff is treated differently and is generally fully deductible.
Non-deductible pension contributions	Contributions beyond what the rules allow. Usually zero.
Charitable donations to entities that are not qualifying public benefit entities	Donations to organisations not on the approved list. Giving to a good cause is not enough — the recipient must be an approved entity.
Expenditure incurred in deriving exempt income	If some of your income is exempt, the costs of earning it are not deductible. Usually zero if you have no exempt income.
Dividends or benefits paid to an owner	Only if these were charged as an expense in your profit and loss. If your dividend was taken directly out of retained earnings, as it usually is, there is nothing to add back — enter zero.
Expenses not wholly and exclusively for the business	Personal costs that ended up in the company accounts. Be honest here; this is a common audit target.
Other non-deductible expenditure	Everything else your computation disallows — commonly unpaid provisions that tax law does not recognise until the money is actually spent. You will be asked to describe it.

THE DESCRIPTION FIELD HAS A CHARACTER LIMIT AND WILL NOT WARN YOU

When you enter an amount under "other non-deductible expenditure", the portal asks you to describe it. This free-text box **silently cuts off** longer text — it simply saves what fits and drops the rest, with no error message.

The result is a description that ends mid-word, or worse, ends mid-number. A description reading "provision of AED 14" next to an amount of 14,000 looks careless in a document you have signed a declaration on.

How to handle it: keep the description short and do not repeat the amount — the number is already in the box above it. Something like "Unpaid staff end-of-service provision" says everything needed. After typing, click outside the field, save as draft, then refresh and re-read it on the review screen to confirm it saved in full.

Interest expenditure

These questions apply a limit on how much net interest you can deduct. There is a generous minimum amount below which the limit does not apply at all, so most small companies answer No and enter zero. If your company has significant borrowings, get advice — this area has real complexity.

Related Parties and Connected Persons

Question	How to approach it
Were there transactions with Related Parties?	If you traded with a sister company, a company under common ownership, or your shareholders, the answer is Yes. Saying Yes is normal and is not a problem — hiding it is.
Did the total value exceed the Related Party threshold?	Add up all your related party transactions for the year and compare with the current threshold. For most small companies the answer is comfortably No.
Additions / deductions for transactions not at arm's length	If your related party transactions were priced fairly, enter zero. If you knowingly priced something away from market, you must adjust here.
Were there gains or losses on assets previously received from a Related Party at a non-arm's-length price?	Rare. No, unless you received assets cheaply from a related company and have now sold them.
Were there transactions with Connected Persons?	Payments to owners, directors and their relatives — including salary and management remuneration. Usually Yes if the owner draws a salary.
Did the value exceed the Connected Person threshold?	Test each person separately. Do not add all owners together. See the warning box below.
Adjustments for payments not at market value	If what you paid your owner is a fair market rate for the work done, enter zero. If it is not, you must adjust.

PAYING YOUR OWNER — TWO THINGS PEOPLE GET WRONG

First, the threshold is per person. If two owners each received amounts below the threshold, the answer is No — even if their combined total is above it. Adding them together and answering Yes is a real error that appears in many first returns.

Second, an audit does not prove market value. Financial statements often contain a note saying the company *believes* related party terms are similar to third-party terms. That is a statement by **management**, not a conclusion by the auditor. An unqualified audit opinion says the accounts are fairly presented; it does not say your owner's salary is at market rate.

So never write, in your file or to the authority, that "the auditor confirmed the payments were at market value". If you need to support the amount, the evidence is a job description, comparable market salaries, and board approval — not the audit report.

Other adjustments

You will be asked whether you made a small error in a previous period, and whether there are any other adjustments. Small errors below a set tax impact can sometimes be corrected in the current return instead of through a formal voluntary disclosure. If a prior-year error had **no** effect on tax payable — for example your tax was nil either way — then no correction obligation arises and you answer No.

STEP 6 — TAX LIABILITY AND TAX CREDITS

Almost everything here is calculated for you. Your job is to check the arithmetic and attach your documents.

Field	What it shows
Taxable Income before Tax Loss adjustments	Calculated. This is your accounting income plus all the add-backs you entered in Step 5. Check it against your own computation. If they disagree, something was entered wrongly earlier.
Do you wish to claim or surrender Tax Losses to a group entity?	Only relevant if you belong to a tax group. Standalone companies answer No.
Tax Losses utilised / claimed from group entities	Calculated. Zero if you have no losses and no group.
Taxable Income for the Tax Period	Calculated. Your final taxable income.
Corporate Tax Liability	Calculated. The system applies the 0% band and the 9% rate automatically.
Do you wish to use available Tax Credits?	Credits for foreign tax already paid, or withholding tax credits. Usually No for a purely domestic business.
Corporate Tax Payable	Calculated. The final figure.
Have any estimated figures been included?	Answer No if every number came from final financial statements. Answer Yes only if you genuinely used an estimate — and be aware this invites follow-up.

Attachments

The portal lists several possible attachments. **Your financial statements are the important one** — attach them before you go further, and then go back and confirm the attachment counter shows more than zero. Many people click through this screen and submit without the file actually uploading.

The other attachment rows relate to transitional elections and foreign tax residency. If those do not apply to you, mark them not applicable using whatever option the portal offers.

STEP 7 — REVIEW AND DECLARATION

The final screen shows every answer from all six previous steps in one long page, and asks you to declare that it is complete and accurate. Do not rush this screen — it is your last chance to catch an error before it becomes a filed document you have signed for.

How to review properly

Check	Why it matters
Net profit matches your financial statements	If this is wrong, everything downstream is wrong.
Total assets equals total equity and liabilities	A simple arithmetic check that catches typing errors.
Taxable income matches your own computation	Proves the portal and your working paper agree.
Every description field reads in full	Truncated text looks careless on a declared document.
Financial statements are actually attached	The most commonly forgotten step.
Previous period column is as you intended	Should reflect what was actually filed last year, not what your accounts show as comparatives — these can differ.
The signatory name matches the FTA profile	Use the same name format as your registration and last year's return. Do not switch between short and full name versions.
Elections say what you meant them to say	Especially the permanent ones.

A WORD ABOUT THE DECLARATION

The declaration confirms two things: that you have authority to file on behalf of the company, and that the information is complete and accurate to the best of your knowledge.

This is a legal statement. If you are unsure about a figure, resolve it before ticking the box rather than after. "To the best of my knowledge" is not a shield for something you chose not to check.

Note also that the contact details in the declaration section are the **signatory's personal** details, which may correctly differ from the company contact details in Step 1. That difference is not an error.

SECTION 4 | MAINLAND vs FREE ZONE — WHAT IS DIFFERENT

The return is the **same form** for both. The differences are in a few questions in Step 1 and in how your income is ultimately taxed.

Topic	Mainland company	Free Zone company
Registration and filing	Must register and file a return.	Must register and file a return. Being in a free zone does not exempt you from filing.
Tax rate	0% up to the threshold, 9% above it.	Same, unless you qualify as a Qualifying Free Zone Person — then qualifying income can be 0% with no threshold limit.
Extra questions in the form	The free zone questions do not apply.	You are asked whether you are in a free zone, whether you meet the QFZP conditions, and whether you elect the standard regime.
Small Business Relief	Available if revenue is under the threshold.	Available only if you are not claiming QFZP status . The two are mutually exclusive.
Audited accounts	Depends on size and licence conditions.	Required if you want QFZP status — no audit, no QFZP.

THE BIGGEST FREE ZONE MISUNDERSTANDING

Many free zone business owners believe their company is automatically tax-free. It is not.

A free zone company pays tax at the normal rates **unless** it qualifies as a Qualifying Free Zone Person, and qualifying means meeting every one of a demanding list of conditions — earning income from qualifying activities, having real substance in the free zone (people, premises, expenditure), staying within limits on non-qualifying income, preparing audited financial statements, and complying with transfer pricing rules. Failing any one of them can cost the status for several years.

Practical advice when teaching: tell the client not to assume. Have someone assess the conditions properly, in writing, before answering Yes to the QFZP question. Answering Yes without evidence is a far bigger risk than answering No and paying 9% on the amount above the threshold.

THE STANDARD REGIME ELECTION — WHAT IT ACTUALLY MEANS

A free zone company that does not want QFZP status can elect to be taxed under the ordinary rules. In practice, two answer combinations both lead to the same place:

- **"We do not meet the QFZP conditions"** — a statement of fact. Normal rates apply automatically.
- **"We elect the standard regime"** — a deliberate choice to step out of the free zone regime.

Either way the tax outcome is the same. What matters is that your answer in the portal and the position recorded in your working papers **tell the same story**. An inconsistency between your file and your return is the kind of thing that turns a simple query into a long one.

SECTION 5 | COMMON MISTAKES

These are the errors that catch people filing for the first time. Reading this list before you start will save you hours.

#	Mistake	How to avoid it
1	Opening the portal without a finished tax computation	Prepare the computation first. In the portal you should only be copying numbers.
2	Double counting depreciation or staff costs	Costs already inside your direct costs line must not be entered again lower down.
3	Net profit in the portal does not match the accounts	Stop immediately and find the difference. Never proceed past a mismatch.
4	Testing the Connected Person threshold on a combined total	Test each person separately.
5	Assuming the audit confirms related party pricing	It does not. Audit opinion and market value are different things.
6	Description text cut off by the character limit	Keep descriptions short, then refresh and re-read them on the review page.
7	Forgetting to attach the financial statements	Attach, then go back and confirm the counter shows more than zero.
8	Clicking through the elections screen quickly	Some elections are permanent. Read every one before choosing.
9	Panicking when a locked field will not change	Irrevocable elections from earlier years are shown read-only. That is normal.
10	Copying prior-year comparatives from the accounts	The previous period column should reflect what was actually filed , which can differ from your accounting comparatives — especially if a relief was claimed last year.
11	Using a different name format from last year	Match the FTA profile and the previous return exactly.
12	Assuming a nil tax bill means no return is needed	A nil return must still be filed, and late filing is penalised.
13	Inventing revenue percentages that look tidy	Either allocate on a supportable basis and document it, or explain why no split exists.
14	Rushing the final review page	It is your last chance before the declaration becomes binding.

SECTION 6 | AFTER YOU SUBMIT

Action	Why
Download the confirmation receipt immediately	Save it with the financial statements and your tax computation so the year's file is complete in one place. Do not rely on being able to find it in the portal later.
Keep all records for the required retention period	The law requires records to be kept for several years after the end of the tax period. Check the current requirement — it is longer than most people expect.
Write a file note explaining every judgement you made	Next year, someone — possibly you — will ask why a figure was treated a certain way. A short note written now saves an afternoon later.
Record which elections were made	Permanent elections bind future years. The next filer must know what was chosen without having to reconstruct it.
Fix the bookkeeping problems this filing revealed	Filing always exposes weaknesses — revenue not split by activity, entertainment not split between staff and clients, provisions not tracked. Fix them in the new year's ledger while the pain is fresh.
Diarise next year's deadline now	Nine months after the year end. Put it in the calendar before you close the file.

THE PRINCIPLE WORTH TEACHING ABOVE ALL OTHERS

Every number in a tax return should be traceable. If someone points at any figure and asks "where did this come from?", you should be able to open one document and show them — this line, this note, this page.

A return where every figure traces to a source survives a query in an afternoon. A return where figures were typed from memory or worked out on the day turns the same query into weeks of reconstruction.

The tax may be nil. The discipline is not optional.

Disclaimer. This document is training material. It explains how to navigate and complete the Corporate Tax return form and the reasoning behind common answers. It is not tax advice for any particular company, and it contains no client information. Tax rules, thresholds, reliefs and deadlines change — always confirm the current position on the Federal Tax Authority website, and involve a registered tax agent on any matter of judgement.